For intelligence operatives like Khatri, the arrests were both a success and a failure. He was shocked by the fact that terrorists wanted in India easily spent ten years in Nepal. And as more and more Pakistan-sponsored madras-sas are sprouting in the neighbourhood, the situation looks grim. He also rules out sealing the border as it may make the Nepalese even more hostile, allowing China and Pakistan to get the Himalayan nation firmly on their sides. According to the home ministry, the main challenge is to check infiltration by terrorists and criminals along the 1,715 km open border, and thirty-one battalions of the Sashtra Seema Bal (SSB) have been deployed to do so. Aside from institutional mechanisms at the home secretary and joint secretary levels, the two countries also have district coordination committees which discuss issues of mutual concern, such as containing cross-border crimes, smuggling and terrorist activities.

Can we close the border? That is not feasible or possible since the Chinese intelligence has now launched an offensive in Nepal. Mandarin teaching institutions have come up and a recent minor explosion in front of the Indian consulate was just a warning that the Chinese can get to us. An opportunity to mend ties came in January 2006 when officers of both the countries sat down for a meeting in New Delhi to discuss the Indo-Nepal transit treaty for the smooth movement of supplies to Nepal through fifteen transit points. More than 60 per cent of Nepal's total trade was with India and Nepal wanted to strengthen commercial ties for its development. The Indian government, however, worried by the nexus between the Indian and Nepalese Maoists and the unhindered access to the Chinese and the Pakistanis, asked Nepal to abide by certain preconditions, such as rationalisation of transit points, protection of third-country shipments through a guarantee